

The whole tree, in one page

Every branch of the framework and every rule on it, as a single line each.

Untick *rule lines* for the bare skeleton; click any branch to open it in the explorer.

The bank balance sheet under Basel III	673
Assets and exposures	342
Credit risk – standardised approach	126
- Only ratings from recognised ECAIs may be used for regulatory purposes - ECAI eligibility: eight criteria, with a minimum one-year rating-methodology track record - ECAI must disclose single-client revenue concentration of 10% or more - Supervisors map ECAI rating categories to standardised risk weights - ECAI ratings must be used consistently across all recognised exposure types - Single available rating determines the risk weight - Two divergent ratings: the higher risk weight applies - Three or more ratings: second-lowest risk weight applies - Issue-specific rating governs an investment in that issue - A high-quality issue rating may be borrowed only by pari passu or senior exposures - Issuer ratings cover senior unsecured only; a low-quality rating contaminates junior exposures - Ratings limited to a class of liabilities may only be used within that class - The relied-upon rating must reflect the entire credit exposure including interest - No CRM recognition where the credit enhancement is already in the issue rating - Foreign currency ratings for foreign currency exposures; domestic ratings for domestic currency - Risk weights for specific short-term ratings: 20/50/100/150% - Short-term ratings are issue-specific and cannot be generalised - A 50% short-term rated facility floors unrated short-term exposures at 100% - A 150% short-term rating forces 150% on all unrated exposures to that issuer - General short-term preferential treatment applies to bank exposures up to three months original maturity - An unfavourable specific short-term rating removes the interbank preferential treatment - Group affiliate ratings cannot be used to risk-weight other group entities - Solicited ratings by default; unsolicited ratings only with supervisory satisfaction - Standardised RWA = risk weight x exposure, net of specific provisions - IRB approach requires explicit supervisory approval	CRE21.1 at least one year methodology track record CRE21.2 10% or more of annual revenue from a single c... CRE21.5 CRE21.8 CRE21.9 one rating CRE21.10 two ratings · higher risk weight CRE21.11 three or more ratings · two lowest risk weigh... CRE21.12 CRE21.12 CRE21.12 CRE21.12 CRE21.13 CRE21.14 CRE21.15 CRE21.16 20% risk weight (A-1/P-1) · 50% risk weight (...) CRE21.16 CRE21.17 50% risk weight trigger · 100% risk weight fl... CRE21.17 150% risk weight CRE21.18 three months original maturity CRE21.18 CRE21.20 CRE21.21 CRE20.1 CRE20.2
Sovereign exposures	6
- Risk weights for sovereign and central bank exposures - National discretion for lower risk weight on domestic-currency sovereign exposure 0% risk weight for named international organisations - Risk weights for non-central government public sector entities 0% risk weight for eligible multilateral development banks - Risk weights for non-eligible MDB exposures, including the no-ratings 50% weight	CRE20.7 0% risk weight (AAA to AA-) · 20% risk weight... CRE20.8 CRE20.10 0% risk weight CRE20.11 20% risk weight · 50% risk weight CRE20.14 0% risk weight · majority of external ratings... CRE20.15 50% risk weight (no external ratings permitte...
Public sector entities	5
- Non-operational non-financial corporate, sovereign, MDB and PSE funding runs off at 40% - Fully insured non-financial corporate and public sector funding runs off at 20% - Definition of a bank exposure - ECRA base and short-term risk weights for bank exposures - Maturity windows qualifying for short-term bank risk weights	LCR40.40 40% run-off factor LCR40.41 20% run-off factor CRE20.16 CRE20.18 20% base risk weight · 30% base risk weight CRE20.19 original maturity of three months or less · o...
Multilateral development banks	3
- Due diligence can only ratchet risk weights up, never down - SCRA Grade A/B/C risk weights for bank exposures 30% SCRA weight for very strongly capitalised unrated banks	CRE20.20 at least one bucket higher CRE20.21 40% base risk weight (Grade A) · 75% base ris... CRE20.21 30% risk weight · CET1 ratio meets or exceeds...
Bank exposures	2
- Mandatory Grade C classification triggers - Sovereign risk weight floor on foreign-currency bank exposures	CRE20.29 previous 12 months CRE20.32
Covered bonds	9
- Definition of a covered bond - Qualifying covered bonds may be valued at 20% of nominal; others at 100% - Covered bond cover pool eligibility: RW and LTV thresholds - Covered bond pool must be overcollateralised by at least 10% - Covered bond conditions must hold at inception and throughout maturity - Eligible cover pool composition limits for covered bonds 10% minimum overcollateralisation of covered bond cover pools - Covered bond investor information: 90-day arrears, at least semi-annually - Risk weights for rated and unrated covered bonds	LEX30.37 LEX30.38 20% of nominal value (floor) · 100% of nomina... LEX30.39 35% risk weight (residential) · 80% LTV (resi... LEX30.39 10% overcollateralisation LEX30.40 CRE20.34 loan-to-value ratio of 80% or lower · loan-to... CRE20.35 at least 10% overcollateralisation CRE20.37 more than 90 days past due · at least semi-an... CRE20.38 10% risk weight · 15% risk weight
Securities firms and other financial institutions	1
Classification of securities firms and other financial institutions	CRE20.40
Corporate exposures	10
General corporate	5
- Definition of the corporate exposure class - Corporate base risk weights from external ratings, subject to due diligence 100% risk weight for unrated corporates and the rated corporate table - Flat 100% corporate risk weight where external ratings are not permitted 65% risk weight for investment grade corporates in no-ratings jurisdictions	CRE20.41 CRE20.42 CRE20.43 100% risk weight (unrated) · 20% risk weight CRE20.44 100% risk weight CRE20.46 65% risk weight
Small and medium enterprises	3
Definition of a corporate SME: consolidated annual sales up to EUR 50 million	CRE20.47 annual sales less than or equal to EUR 50 mil...

• 85% risk weight for corporate SME exposures	CRE20.47	85% risk weight	
• SMEs meeting regulatory retail criteria are weighted 75%	CRE20.47	75% risk weight	
Specialised lending			2
• Definition of specialised lending exposures			CRE20.48
• Risk weights for unrated specialised lending: 100%, 130% and 80%	CRE20.51	100% risk weight (object and commodities fina...	
Subordinated debt, equity and other capital instruments			5
• 400% and 250% risk weights for equity exposures		CRE20.57 400% risk weight • 250% risk weight	
• 100% equity weight for subsidised legislated programmes, capped at 10% of total capital	CRE20.59	100% risk weight • aggregate cap of 10% of	
• 150% risk weight for subordinated debt and non-equity capital instruments		CRE20.60 150% risk weight	
• Materiality thresholds for investments in commercial entities: 15% and 60% of capital	CRE20.61	15% of the bank's capital (individual investm...	
• 1250% risk weight on commercial entity investments above the thresholds		CRE20.62 1250% risk weight	
Retail exposures			12
Regulatory retail criteria			7
• Regulatory retail product criterion, expressly including credit cards			CRE20.65
• EUR 1 million absolute cap on aggregated exposure to one retail counterparty	CRE20.65	absolute threshold of EUR 1 million per count...	
• 0.2% granularity criterion for the regulatory retail portfolio	CRE20.65	0.2% of the overall regulatory retail portfol...	
• Aggregated exposure is measured gross and after CCFs for off-balance sheet claims			CRE20.65
• Three-step method for applying the 0.2% granularity threshold	CRE20.65	0.2% of the subset before exclusions	
• Definition and boundary of the retail exposure class			CRE20.63
• The three risk-weighting subsets of the retail exposure class			CRE20.64
Regulatory retail – transactors • 45%			1
• Definition of a transactor: full repayment at every scheduled date for 12 months	CRE20.66	repaid in full at each scheduled repayment da...	
Regulatory retail – revolvers • 75%			3
• 75% risk weight for regulatory retail exposures to non-transactors		CRE20.68 75% risk weight	
• 45% risk weight for regulatory retail exposures to transactors		CRE20.68 45% risk weight	
• 100% risk weight for other retail exposures		CRE20.68 100% risk weight	
Other retail • 100%			1
• Definition of other retail exposures			CRE20.67
Real estate exposures			19
• Criteria for classification as a regulatory real estate exposure			CRE20.71
• Supervisors may require higher real estate risk weights			CRE20.72
• Mortgage underwriting policies must assess ability to repay with defined metrics			CRE20.73
• LTV definition: loan amortises but property value is frozen at origination			CRE20.74
• LTV loan amount includes undrawn committed amounts and is gross of provisions			CRE20.75
• 1.25 multiplier on junior lien mortgage risk weights		CRE20.75 1.25 multiplier	
• 50% income test for material dependence on property cash flows	CRE20.80	more than 50% of the income	
Regulatory residential real estate			4
• Whole loan risk weights by LTV for residential real estate not cash-flow dependent	CRE20.82	20% risk weight (LTV 50% to 60%) • 25% risk	
• Loan splitting approach: 20% weight up to 55% of property value	CRE20.83	20% risk weight • up to 55% of the property v...	
• Risk weights by LTV for residential real estate materially dependent on property cash flows	CRE20.84	30% risk weight (50% < LTV <= 60%)	
• 100% risk weight for qualifying residential ADC exposures		CRE20.91 100% risk weight	
Regulatory commercial real estate			4
• Commercial real estate whole loan weights: min(60%, counterparty RW) up to 60% LTV	CRE20.85	Min (60%, RW of counterparty) • LTV <= 60%	
• Loan splitting approach for commercial real estate	CRE20.86	60% risk weight • up to 55% of the property v...	
• Risk weights for commercial real estate materially dependent on property cash flows	CRE20.87	70% risk weight (LTV <= 60%) • 90% risk wei...	
• Jurisdictional CRE loss tests of 0.3% and 0.5% of outstanding loans	CRE20.87	0.3% of the outstanding loans in any given ye...	
Other real estate			3
• Composition of the real estate exposure class			CRE20.69
• Other real estate weights: 75% for individuals, 85% for SMEs	CRE20.89	75% risk weight (individuals) • 85% risk weig...	
• 150% risk weight for cash-flow-dependent other real estate exposures		CRE20.89 150% risk weight	
Land acquisition, development and construction			1
• 150% risk weight for land acquisition, development and construction exposures		CRE20.90 150% risk weight	
Currency mismatch multiplier			3
• 1.5x risk weight multiplier for unhedged currency-mismatched retail exposures	CRE20.92	1.5 times multiplier • maximum risk weight of...	
• Hedges must cover at least 90% of the loan instalment to avoid the multiplier		CRE20.93 at least 90% of the loan instalment	
• Credit cards and overdrafts are in scope of the currency mismatch multiplier, measured fully drawn		CRE20.93	
Defaulted exposures			5
• 150% risk weight on defaulted exposures with specific provisions below 20%	CRE20.106	150% risk weight • specific provisions less t...	
• 100% risk weight on defaulted exposures with specific provisions of 20% or more	CRE20.106	100% risk weight • specific provisions equal...	
• National discretion to apply 50% weight where provisions reach 50% coverage	CRE20.106	50% risk weight • specific provisions no less...	
• 100% risk weight for defaulted residential real estate not cash-flow dependent		CRE20.107 100% risk weight	
• 250% risk weight on non-deducted threshold deduction items		CRE20.109 250% risk weight	
Other assets			1
• Standard risk weights for other assets: 100%, 0% for cash and gold, 20% for items in collection	CRE20.110	100% risk weight • 0% risk weight	
Counterparty credit risk and credit derivatives			18
• Guarantor's risk weight may be substituted for the counterparty's where conditions are met			CRE22.70
• Guarantees and credit derivatives must be direct, explicit, irrevocable and unconditional	CRE22.71	five cumulative requirements	
• Guarantee amount must be adjusted for maturity mismatch			CRE22.72
• Guarantee must permit direct pursuit of the guarantor without first suing the counterparty			CRE22.73
• Principal-only guarantees leave interest and other payments unsecured			CRE22.73
• Credit derivative must at minimum cover failure to pay, bankruptcy and restructuring	CRE22.74	three minimum credit events • 100% vote condi...	
• Credit derivatives not covering restructuring are recognised at only 60%	CRE22.75	60% of the hedge amount recognised • 60% cap...	
• Range of eligible guarantors and protection providers	CRE22.76	BBB- or better currently (securitisation prot...	
• Protection on securitisation exposures requires BBB- now and A- at inception	CRE22.76	BBB- or better currently • A- or better at in...	
• Definition of an investment grade guarantor where external ratings are banned			CRE22.76
• Only credit default swaps and total return swaps are eligible credit derivatives			CRE22.77
• First-to-default and nth-to-default credit derivatives give no capital relief		CRE22.78 zero capital relief	
• Protected portion takes the provider's risk weight; amounts below a materiality threshold get 1250%	CRE22.79	1250% risk weight on the retain...	
• Pari passu pro rata loss sharing gives proportional capital relief	CRE22.80	pro rata proportional relief	
• Tranching risk transfer is treated under the securitisation standard			CRE22.81
• Guarantee amount reduced by an FX haircut where currencies differ		CRE22.82 GA = G * (1 - HFX)	

	• 8% currency mismatch haircut for credit protection, scaled by revaluation frequency	CRE22.83	8% currency mismatch haircut · 10-business da...
	• Sovereign guarantees and indirect sovereign counter-guarantees may receive the domestic sovereign treatment	CRE22.84	three cumulative condit...
Due diligence requirements			
	• Counterparty due diligence at origination and at least annually	CRE20.4	at least annually · at origination
	• Due diligence sophistication scales with bank size and complexity		CRE20.4
Credit risk – internal ratings-based approach			
	• IRB approach is available only with supervisory approval		CRE30.1
	• Residual 100% risk weight where no IRB treatment is specified	CRE30.3	100% risk weight · 0% risk weight
	• A-IRB prohibited for large corporates (revenue > EUR 500m) and for bank/financial exposures	CRE30.34	€500m consolidated annual revenues
	• Measurement basis for the EUR 500m corporate revenue threshold	CRE30.35	3-year averaging window · refresh at least ev...
	• IRB adoption must be extended across an entire asset class		CRE30.45
	• IRB adoption within a business unit must cover the whole asset class in that unit		CRE30.47
	• No capital relief for intra-group transfers designed to reduce group capital during roll-out		CRE30.48
	• Immaterial exposures may be exempted from IRB and left on the standardised approach		CRE30.49
	• Voluntary reversion from IRB to the standardised approach is severely restricted		CRE30.50
	• RWA for defaulted exposures: $K \times 12.5 \times \text{EAD}$	CRE31.3	12.5 multiplier (1/8%) · floor of zero on K
	• 1.25x asset-correlation multiplier for large and unregulated financial institutions	CRE31.7	1.25 correlation multiplier · USD100 billion...
	• SME firm-size adjustment to the corporate correlation ($0.04 \times (1 - (S - 5)/45)$)	CRE31.8	$0.04 \times (1 - (S - 5) / 45)$ correlation reducti...
	• Sales below EUR 5 million floored at EUR 5 million for the SME adjustment	CRE31.8	€5 million sales floor
	• Purchased retail receivables: retail quantification standards on a stand-alone basis		CRE34.3
	• 40% LGD for senior purchased corporate receivables under F-IRB top-down		CRE34.5 40% LGD
	• 40% conversion of undrawn purchase commitments in a revolving purchase facility	CRE34.5	40% of undrawn purchase commitments · EAD = r...
	• 100% LGD where seniority of purchased corporate receivables cannot be demonstrated	CRE34.5	100% LGD · PD set equal to estimated EL
	• A-IRB banks may not use internal EAD estimates for undrawn purchase commitments	CRE34.6	prescribed 40% factor replaces internal EAD e...
	• Dilution risk parameterised as PD equal to estimated EL and LGD of 100%	CRE34.8	LGD = 100% for dilution risk · PD = estimated...
	• Total EL amount is the sum of EL x EAD across IRB exposures		CRE35.2
	• EL calculated as PD x LGD for non-defaulted exposures		CRE35.3
	• Definition of total eligible provisions		CRE35.4
	• General provisions attributed pro rata to standardised and IRB RWA		CRE35.6
	• IRB banks must compare total eligible provisions against total EL		CRE35.8
	• Excess provisions may be included in Tier 2 subject to supervisory assessment		CRE35.9
Categorisation of exposures			
	• ASF measured on contractual maturity and withdrawal propensity		NSF30.5
	• ASF computed as carrying value assigned to five categories times ASF factor	NSF30.6	five categories · 100% / 95% / 90% / 50% / 0%...
	• Definition of carrying value for ASF		NSF30.6
	• Assume investors redeem call options at the earliest possible date		NSF30.7
	• Only cash flows at or beyond six-month and one-year horizons count as long-dated	NSF30.7	six-month horizon · one-year horizon
	• 100% ASF for regulatory capital excluding short-dated Tier 2	NSF30.10	100% ASF factor · residual maturity of less t...
	• 100% ASF for borrowings and term deposits with residual maturity of one year or more	NSF30.10	100% ASF factor · residual maturity of one ye...
	• 100% ASF for retail term deposits over one year with significant early-withdrawal penalty	NSF30.10	100% ASF factor · maturing over one year
	• 95% ASF for stable retail and small business deposits	NSF30.11	95% ASF factor · residual maturities of less...
	• Retail deposits and small business customers take their LCR definitions		NSF30.11
	• 90% ASF for less stable retail and small business deposits	NSF30.12	90% ASF factor · residual maturities of less...
	• ASF follows LCR stable/less-stable definitions, not jurisdictional run-off rates	NSF30.12	5% outflow (stable) · 10% outflow (less stabl...
	• 50% ASF for sub-one-year funding from non-financial corporates	NSF30.13	50% ASF factor · residual maturity of less th...
	• 50% ASF for operational deposits		NSF30.13 50% ASF factor
	• 50% ASF for sub-one-year funding from sovereigns, PSEs and development banks	NSF30.13	50% ASF factor · residual maturity of less th...
	• 50% ASF for other funding with residual maturity between six months and one year	NSF30.13	50% ASF factor · between six months to less t...
	• 0% ASF for all other liabilities including sub-six-month bank and central bank funding	NSF30.14	0% ASF factor · residual maturity of less th...
	• 0% ASF for liabilities without a stated maturity, with 100%/50% exceptions	NSF30.14	0% ASF factor · 100% ASF factor
	• National discretion for cooperative network deposits, ASF capped at 85%	NSF30.14	0% ASF (default) · ASF cap of 85%
	• Definition of a large exposure: 10% or more of Tier 1 capital	LEX10.8	10% of Tier 1 capital
	• A group of connected counterparties is treated as a single counterparty		LEX10.9
	• Connectedness criterion 1: control relationship		LEX10.10
	• Connectedness criterion 2: economic interdependence		LEX10.10
	• Banks must actively assess counterparty relationships against both criteria		LEX10.11
	• Automatic control presumption at more than 50% of voting rights	LEX10.12	more than 50% of voting rights
	• Additional control indicators beyond majority voting rights		LEX10.13
	• Refer to internationally recognised accounting standards when determining control		LEX10.14
	• Rebuttal of a control-based grouping in exceptional cases		LEX10.15
	• Economic interdependence indicator: 50% or more of gross receipts or expenditures	LEX10.16	50% of gross receipts or gross expenditures (...)
	• Economic interdependence indicator: significant guarantee or other liability		LEX10.16
	• Economic interdependence indicator: same expected source of repayment		LEX10.16
	• Economic interdependence indicator: shared majority funding source	LEX10.16	majority of funding from a common provider
	• Rebuttal of economic interdependence where alternatives exist		LEX10.17
	• Economic interdependence must be investigated above 5% of Tier 1 capital	LEX10.18	5% of Tier 1 capital
	• Proportionality: interdependence investigation need not exceed exposure size		LEX10.18
	• Exposure value is the accounting value, or optionally gross of provisions		LEX30.3
	• Counterparty credit risk exposures measured using SA-CCR		LEX30.4
	• SFT exposures measured under the comprehensive approach with supervisory haircuts		LEX30.5
	• Off-balance sheet items converted at standardised CCFs with a 10% floor	LEX30.6	10% CCF floor · standardised approach CCFs
	• Mandatory categorisation of banking-book exposures into five IRB asset classes		CRE30.4
	• Retail asset class contains three separately identified sub-classes	CRE30.4	three retail sub-classes
	• Two-part test for classifying an exposure as retail		CRE30.19
	• Purchased retail receivables eligible for top-down IRB treatment		CRE30.28
	• Supervisors must set concentration limits for top-down purchased corporate receivables		CRE30.30
	• Level 1 assets unlimited; Level 2 assets capped at 40% of the HQLA stock	LCR30.31	40% cap on Level 2 assets · Level 1 unlimited
	• Level 2B assets capped at 15% of the HQLA stock	LCR30.33	15% cap on Level 2B assets · 40% cap on Level...
	• Level 2 and Level 2B caps determined after haircuts and after unwinding short-term SFTs		LCR30.34 40% cap · 15% cap
	• Adjusted Level 2 assets capped at two-thirds of adjusted Level 1 assets	LCR30.35	two-thirds of adjusted Level 1
	• Adjusted Level 2B assets capped at 15/85 of Level 1 plus Level 2A, or 1/4 of Level 1	LCR30.36	15/85 of Level 1 + Level 2A · 1/4 of adjusted...

	• Total net cash outflows defined as expected outflows minus expected inflows over 30 days	LCR40.1 30 calendar days
	• Expected outflows are balances multiplied by run-off and drawdown rates	LCR40.1
	• Expected cash inflows capped at 75% of total expected cash outflows	LCR40.1 75% cap on inflows
	• Certain run-off parameters are set nationally and must be publicly transparent	LCR40.2
	• No double-counting of items between HQLA and inflows, and outflow capped at maximum contractual amount	LCR40.4
Qualifying revolving retail exposures		16
	• Credit cards and other revolving credit to individuals are retail regardless of size	CRE30.20
	• EUR 1 million group exposure threshold for small-business retail treatment	CRE30.20 €1 million total group exposure threshold
	• Retail exposures must sit in a large, pooled-managed portfolio	CRE30.22
	• Sub-EUR 1 million small-business exposures may be pooled as retail if managed consistently	CRE30.22 €1 million exposure threshold
	• Banks must separately identify residential mortgage, QRRE and other retail	CRE30.23 3 retail sub-classes
	• QRRE status must be established at sub-portfolio level and all criteria met	CRE30.24
	• QRRE criterion 1: revolving, unsecured and uncommitted exposures	CRE30.24
	• QRRE criteria 2 and 3: individual obligors and EUR 100,000 exposure cap	CRE30.24 €100,000 maximum exposure to a single individ...
	• QRRE single-obligor limit of EUR 100,000	CRE30.24 €100,000 per-individual cap
	• QRRE criterion 4: demonstrated low volatility of loss rates	CRE30.24
	• QRRE criterion 5: retention of sub-portfolio loss-rate data	CRE30.24
	• QRRE criterion 6: supervisor must concur with the classification	CRE30.24
	• Definition of a QRRE transactor (12-month full-repayment test)	CRE30.25 12 months of full repayment at each scheduled...
	• All non-transactor QRRE, including thin-file accounts, are revolvers	CRE30.25 less than 12 months of repayment history
	• QRRE is a distinct asset class for IRB roll-out purposes	CRE30.45 9 roll-out asset classes
	• Purchased receivables failing QRRE standards fall to other retail; hybrid pools take the worst function	CRE34.2
Retail risk components and functions		18
	• Retail is A-IRB only: own PD, LGD and EAD estimates are mandatory	CRE30.42
	• Three retail risk-weight functions with no maturity adjustment	CRE31.13 3 retail risk-weight functions · no maturity...
	• Residential mortgage retail risk-weight function	CRE31.14
	• QRRE risk-weight function applies to non-defaulted qualifying revolving retail	CRE31.15
	• Other retail risk-weight function with PD-varying correlation	CRE31.16
	• Risk-component floors do not apply to sovereign-guaranteed retail exposures	CRE32.57
	• Retail PD floors: 0.1% for QRRE revolvers, 0.05% for all other retail	CRE32.58 0.1% PD floor for QRRE revolvers · 0.05% PD f...
	• Retail LGD floors: 50% QRRE, 5% mortgages, 30% other retail unsecured	CRE32.58 50% LGD floor for QRRE (transactors and revol...
	• Residential mortgage LGD floor fixed at 5% irrespective of collateral level	CRE32.59 5% LGD floor for residential mortgages
	• Retail guarantees and credit derivatives recognised via PD or LGD adjustment	CRE32.60
	• No double-default recognition; adjusted risk weight floored at the protection provider's	CRE32.61
	• Retail EAD measured gross of provisions and write-offs, with a floor	CRE32.62
	• Retail banks must use own EAD estimates for undrawn revolving commitments	CRE32.63 excluded where SA CCF = 100%
	• Retail definition of commitment identical to the standardised approach	CRE32.63
	• Retail EAD floor: on-balance-sheet plus 50% of off-balance-sheet at SA CCF	CRE32.64 50% of off-balance-sheet exposure at the SA C...
	• Credit cards: additional drawings before default must be captured in EAD or LGD	CRE32.65
	• Undrawn balances remain capitalised when drawn revolving retail balances are securitised	CRE32.66
	• No internal credit-equivalent amounts for FX and interest-rate commitments in retail	CRE32.67
Corporate, sovereign and bank exposures		18
	• 0.05% PD floor for corporate and bank exposures	CRE32.4 0.05% PD floor
	• F-IRB supervisory LGD of 45% for financials and 40% for other corporates	CRE32.6 45% LGD (financials, sovereigns, banks) · 40%...
	• 75% LGD for all subordinated claims	CRE32.7 75% LGD on subordinated claims
	• The simple collateral approach is not available under IRB	CRE32.9
	• F-IRB LGD and haircut schedule by eligible collateral type	CRE32.11 20% LGD / 40% haircut (eligible receivables)...
	• LGD parameter floors for corporate exposures under A-IRB	CRE32.16 25% unsecured LGD floor · 0% financial collat...
	• Capital must still be held on undrawn balances when only drawn revolving balances are securitised	CRE32.31
	• EAD for undrawn commitments: CCF method or direct A-IRB estimate	CRE32.32
	• IRB definition of commitment is identical to the standardised approach	CRE32.32
	• F-IRB uses the standardised approach CCFs	CRE32.33
	• CCF is applied to the lower of unused committed line and any constrained availability	CRE32.34
	• A-IRB own EAD estimates permitted for undrawn revolving commitments below 100% CCF	CRE32.36 excluded where CCF = 100%
	• EAD floor: on-balance-sheet amount plus 50% of off-balance-sheet at the SA CCF	CRE32.36 50% of off-balance-sheet exposure at the SA C...
	• Definition of a revolving loan facility	CRE32.36
	• F-IRB effective maturity fixed at 2.5 years (6 months for repo-style)	CRE32.44 M = 2.5 years (foundation approach) · M = 0.5...
	• National discretion to fix M at 2.5 years for small domestic corporates	CRE32.45 M fixed at 2.5 years · €500 million sales and...
	• Effective maturity floored at one year and capped at five years	CRE32.46 1 year M floor · 5 year M cap
	• Maturity of revolving exposures uses maximum contractual termination date	CRE32.50
Minimum requirements for IRB use		0 not yet extracted
Credit risk mitigation		65
	• Scope: the CRM framework applies to banking book exposures risk-weighted under the standardised approach	CRE22.2
	• CRM may never increase the capital requirement	CRE22.3
	• CRM capital relief is conditional on meeting the Pillar 3 disclosure standard	CRE22.4
	• CRM effects must not be double-counted	CRE22.5
	• Banks must control the residual risks created by CRM or face additional capital charges	CRE22.6
	• Maturities of exposure and hedge must be measured conservatively	CRE22.14
	• A bank may use either the simple or the comprehensive approach in the banking book, not both	CRE22.19
	• Definition of core market participants	CRE22.37 20% risk weight eligibility for other financi...
	• Qualifying repo transactions receive 10% risk weight, or 0% with a core market participant	CRE22.38 10% risk weight · 0% risk weight for core ma...
	• Minimum holding periods: 5, 10 and 20 business days by transaction type	CRE22.57 five business days (repo-style) · 10 business...
Eligible collateral and haircuts		39
	• CRM must not be materially positively correlated with the counterparty's credit quality	CRE22.7
	• Exposures covered by multiple CRM techniques or maturities must be subdivided	CRE22.8
	• Definition of a collateralised transaction	CRE22.16
	• Choice between simple approach (20% floor substitution) and comprehensive approach (volatility-adjusted offset)	CRE22.18 20% risk weight flo...
	• Collateral standards in CRE22.26 to CRE22.31 must be met before any capital relief	CRE22.25
	• The bank must be able to liquidate or take possession of collateral in a timely manner on default	CRE22.26
	• Banks must have procedures for prompt liquidation of collateral	CRE22.27
	• Collateral risk management policies must cover volatility, concentration, reuse and surrendered rights	CRE22.28

• Custodian-held collateral must be segregated from the custodian's own assets	CRE22.29
• Capital requirements apply to both sides of a collateralised transaction	CRE22.30
• Simple approach: the collateral's risk weight replaces the counterparty's	CRE22.32
• Simple approach: collateral pledged for life of exposure, revalued at least six-monthly, 20% risk-weight floor	CRE22.33 minimum revaluation
• Eligible financial collateral (simple approach): cash, gold, and debt rated at least BB- (sovereign), BBB- (other) or A-3/P-3 (short-term)	CRE22.34
• Unrated bank debt securities eligible as collateral subject to six cumulative conditions	CRE22.34 at least BBB- or A-3/P-3 for same-seniority
• Eligible collateral where external ratings are banned: sovereign/PSE, Grade A bank, investment-grade and sub-100% securitisation securities	CRE22.34 daily publicly quoted price
• Main index equities and qualifying UCITS/mutual funds are eligible collateral	CRE22.34
• Resecuritisations are not eligible financial collateral	CRE22.35
• Eight conditions exempting repo-style transactions from the simple-approach risk-weight floor	CRE22.36 0% risk weight collateral · eight cum
• Close-out after failure to remargin must be no more than four business days	CRE22.36 no more than four business days
• 0% risk weight for same-currency cash collateral, or 0%-weighted sovereign/PSE collateral discounted by 20%	CRE22.39 0% risk weight · 20% fl
• Comprehensive approach: supervisory haircuts must be applied to both exposure and collateral	CRE22.40
• Definition of the holding period underlying supervisory haircuts	CRE22.41
• Holding periods of 5 business days (remargined repo-style) and 20 business days (secured lending)	CRE22.42 5-business day holding period (re)
• Additional haircut required where exposure and collateral are in different currencies	CRE22.43
• Comprehensive approach adds non-index listed equities and funds holding them to the eligible collateral list	CRE22.45
• Adjusted exposure is multiplied by the counterparty risk weight	CRE22.48
• Supervisory haircuts assume daily mark-to-market, daily remargining and a 10-business day holding period	CRE22.49 10-business day holding pe
• Supervisory haircut table for debt securities (external ratings permitted)	CRE22.49 0.5% (AAA-AA- sovereign, <= 1 year) · 2% / 4%...
• 20% haircut for main index equities and gold, 30% for other listed equities	CRE22.49 20% haircut (main index equities and gold) · ...
• Supervisory haircut table for debt securities where external ratings are banned	CRE22.50 0.5% (0% risk weight issuer, <= 1 year) · 2%...
• Zero haircut for same-currency cash; 30% for other exposure types	CRE22.50 0% haircut (cash in the same currency) · 30%...
• Definitions used in the supervisory haircut tables	CRE22.51 0% risk weight MDBs treated as sovereigns
• 30% haircut where the bank posts non-eligible instruments; no CRM where it borrows them	CRE22.54 30% haircut on exposure · zero CRM recognit
• Haircut on a basket of collateral is the weighted average of component haircuts	CRE22.55 $H = \sum a_i \cdot H_i$ (weighted average)
• Illiquid collateral forces a 20-business day minimum holding period	CRE22.58 20 business days minimum holding period · two...
• Haircuts must be scaled from the 10-business day default by the actual remargining frequency	CRE22.59 10-business day default haircut · $H = I$
• Zero haircut permitted for qualifying repo-style transactions with core market participants	CRE22.60 haircut of zero
• Conditions for recognising bilateral netting of SFTs	CRE22.62 four cumulative conditions
• Netting across banking and trading book requires daily marking and banking-book-eligible collateral	CRE22.63 daily mark to market
Guarantees and credit derivatives	4
• CRM documentation must be binding and legally enforceable in all relevant jurisdictions	CRE22.9
• Currency mismatches allowed under all approaches; simple approach relies on the 20% floor	CRE22.15 20% risk weight floor
• Only lower-risk-weight protection providers reduce capital; uncovered portion keeps counterparty weight	CRE22.23
• An agent guaranteeing a repo-style transaction must hold capital as principal	CRE22.31
On-balance sheet netting	4
• Net credit exposures may be used where enforceable loan/deposit netting exists	CRE22.21
• Netting sets exceeding 5,000 trades in a quarter must use a 20-business day holding period	CRE22.58 5,000 trades threshold · 20 business day
• More than two margin call disputes in two quarters doubles the minimum holding period	CRE22.58 more than two margin call disputes · previous.
• Four conditions for netting loans against deposits for capital purposes	CRE22.68 four cumulative conditions
Maturity mismatch and currency mismatch	8
• Definition of a maturity mismatch	CRE22.10
• Maturity mismatches are not allowed under the simple approach	CRE22.11
• Mismatched protection recognised only if original maturity at least one year and residual at least three months	CRE22.12 original maturity >
• Maturity mismatch adjustment with a five-year cap on exposure maturity	CRE22.13 five years cap on $T \cdot t = \min\{T, \text{residual mat}...$
• Comprehensive approach formula for exposure after risk mitigation	CRE22.46 $E^* = \max\{0, E(1+He) - C(1-Hc-Hfx)\}$
• Collateral value must be adjusted for maturity mismatch	CRE22.47
• Currency mismatch haircut of 8% for collateral	CRE22.52 8% currency mismatch haircut · 10-business da...
• On-balance sheet netting: loans as exposure, deposits as collateral, zero haircuts except currency mismatch	CRE22.69 zero haircut (no curren
Securitisation exposures	0 not yet extracted
• Definitions and scope	0
• Revolving securitisations and early amortisation	0
• Significant risk transfer and operational requirements	0
• Implicit support	0
• Simple, transparent and comparable criteria	0
• Capital calculation hierarchy	0
High-quality liquid assets	20
• Numerator must be unencumbered HQLA covering 30-day net outflows	LCR30.1 30-day period
• HQLA stock should be diversified within asset classes	LCR30.29
Characteristics and operational requirements	5
• Periodic monetisation of a representative proportion of HQLA	LCR30.15
• Definition of unencumbered for HQLA eligibility	LCR30.16
• HQLA must be under the control of the liquidity management function	LCR30.18 30-day stress period
• Assets received under right of rehypothecation excluded when withdrawable within 30 days	LCR30.24 30-day stress period
• 30 calendar-day grace period when an HQLA asset becomes ineligible	LCR30.28 additional 30 calendar days
Level 1 assets	3
• Level 1 assets carry no haircut and no cap	LCR30.40 0% haircut on Level 1
• Level 1 assets include coins, banknotes and drawable central bank reserves	LCR30.41
• Level 1 marketable securities must carry a 0% standardised risk weight	LCR30.41 0% risk weight
Level 2A assets	4
• Level 2 assets no more than 40% of overall stock after haircuts	LCR30.42 40% of overall stock
• 15% haircut on Level 2A assets	LCR30.43 15% haircut
• Level 2A sovereign, PSE and MDB securities must carry a 20% risk weight	LCR30.43 20% risk weight · 10% maximum price decline
• Level 2A corporate debt and covered bonds require a rating of at least AA-	LCR30.43 at least AA- rating
Level 2B assets	6
• Level 2B inclusion is at national discretion	LCR30.44
• Eligible RMBS included in Level 2B subject to a 25% haircut	LCR30.45 25% haircut
• Level 2B RMBS underlying mortgages must be full recourse with maximum 80% average LTV at issuance	LCR30.45 80% maximum average LTV · full re
• Level 2B corporate debt securities subject to a 50% haircut	LCR30.45 50% haircut · at least BBB- rating
• Level 2B common equity shares subject to a 50% haircut	LCR30.45 50% haircut · 40% maximum price decline

• Restricted-use committed liquidity facility must carry a commitment fee of at least 75bp	LCR30.46	75 basis points per annum · 25 basis point	
Trading book and market risk		0	out of scope
Operational risk		0	not yet extracted
Liabilities and funding			75
Deposits			26
• Only fully performing exposures may generate cash inflows		LCR40.75	30-day time horizon
• Inflows capped at 75% of outflows, implying a minimum HQLA of 25% of gross outflows	LCR40.77	75% cap on inflows · minimum HQLA of 25% of t...	
• Zero inflow from credit, liquidity and contingent facilities the bank holds at other institutions		LCR40.82	0% inflow rate
• Revolving credit facilities: assume rollover of drawn balance and treat undrawn balance as a committed facility	LCR40.84	0% inflow on rolled-over	
• Open-maturity and 30-day-terminable loans generate no inflow except contractual minimum payments	LCR40.85	30 days · minimum payments only	
Retail deposits – stable · 3-5% run-off			11
• Retail deposits defined as deposits placed by a natural person			LCR40.5
• Retail deposit run-off rates are minimum floors	LCR40.6	stable and less stable buckets	
• Stable retail deposits receive a 5% run-off factor		LCR40.7	5% run-off factor
• Fully insured means 100% of the deposit amount up to the insurance limit	LCR40.7	100% of the deposit amount · deposit insuranc...	
• Definition of an effective deposit insurance scheme			LCR40.8
• Optional 3% run-off rate for stable deposits with prefunded deposit insurance	LCR40.11	3% run-off rate · seven business days	
• Jurisdictions applying 3% must evidence sub-3% historical stable-deposit run-off		LCR40.12	3% run-off rate
• Less stable retail deposits carry a minimum 10% run-off rate	LCR40.13	minimum run-off rate of 10%	
• Deposits that cannot be identified as stable must be placed in the less stable bucket			LCR40.14
• Retail term deposits beyond 30 days may be excluded from outflows	LCR40.16	greater than 30 days · 0% run-off if excluded	
• Waiving early-withdrawal penalties contaminates the entire term deposit category			LCR40.17
Retail deposits – less stable · 10%+			0
Small business customer deposits			4
• Small business customer funding treated the same as retail deposits	LCR40.22	same 5%/10% retail buckets	
• Small business customer defined by CRE30 retail management and a EUR 1 million aggregate funding limit	LCR40.23	EUR 1 million aggregate fund...	
• Bank-issued debt securities treated as wholesale unless restricted to retail holders	LCR40.43	100% otherwise; retail rates if restricted	
• 50% inflow rate on fully performing retail and small business loan payments	LCR40.86	50% inflow of contractual amount · 50% assume...	
Wholesale – operational deposits · 25%			3
• Qualifying operational deposits receive a 25% run-off factor	LCR40.26	25% run-off factor	
• Excess balances above operational need do not qualify for the 25% factor		LCR40.29	25% factor
• Insured portion of operational deposits treated as stable retail deposits	LCR40.36	stable retail treatment (5% or 3%)	
Wholesale – non-operational · 40% / 100%			0
Funding from financial institutions · 100%			3
• Non-operational funding from financial institutions and other entities runs off at 100%	LCR40.42	100% run-off factor	
• Wholesale inflow rates: 100% from financial institutions and central banks, 50% from non-financial wholesale	LCR40.87	100% inflow from finan...	
• Maturing HQLA counted in the stock must not also be counted as inflows	LCR40.88	100% inflow for non-HQLA securities · 30 days	
Secured funding and repo			2
• Secured funding backed by Level 1 assets or with the domestic central bank runs off at 0%; Level 2 at the asset haircut	LCR40.47	0% for Level 1	
• All other maturing secured funding runs off at 100%	LCR40.48	100% for all others · 50% for other Level 2B	
Net stable funding ratio			47
• NSFR must be reported at least quarterly		NSF20.3	at least quarterly
• Longer-term liabilities assumed more stable than short-term			NSF30.2
• Retail and small business funding assumed more stable than wholesale	NSF30.2	maturing in less than one year	
• Stable funding required for a proportion of real-economy lending			NSF30.3
• Short-dated assets require a smaller proportion of stable funding	NSF30.3	maturing in less than one year	
• Off-balance sheet commitments require additional stable funding			NSF30.4
• Asset carrying value is accounting value net of specific provisions			NSF30.15
• Standardised approach risk weights must be used for NSFR regardless of IRB status			NSF30.15
• HQLA for NSFR purposes ignores LCR operational requirements and Level 2 caps			NSF30.15
• Assets allocated to maturity buckets by contractual residual maturity			NSF30.16
• Assume investors exercise any option to extend asset maturity			NSF30.17
• Amortising loans may split the portion due within one year into the short bucket	NSF30.17	one-year horizon · less-than-one-year bucket	
• Supervisors may allow the next review date to be used as maturity date			NSF30.17
Available stable funding			3
• NSFR minimum of 100% on an ongoing basis	NSF20.2	100% minimum ratio · one-year horizon	
• Definition of available stable funding		NSF20.2	one-year time horizon
• Securities financing transactions reported gross unless LEV30 netting conditions are met			NSF30.22
Required stable funding			28
• Definition of required stable funding			NSF20.2
• Banks assumed to roll over a significant proportion of maturing loans			NSF30.3
• RSF computed as carrying value times RSF factor plus weighted off-balance sheet exposures			NSF30.15
• RSF factors approximate the amount of an asset that must be funded over one year	NSF30.16	over the course of one year	
• Unencumbered loans without a stated final maturity deemed over one year and given 65% or 85% RSF	NSF30.17	65% RSF factor · 85% RSF factor	
• Reduced RSF for exceptional central bank operations floored at 5%	NSF30.18	5% RSF floor · residual maturity equal to or...	
• RSF for encumbered assets: 100% at one year, 50% floor between six months and one year	NSF30.20	100% RSF factor · 50% RSF factor	
• Assets with under six months of encumbrance remaining may be treated as unencumbered	NSF30.20	less than six months remaining encumbrance	
• 0% RSF for cash, central bank reserves and short-dated central bank claims	NSF30.25	0% RSF factor · residual maturities of less t...	
• 5% RSF for unencumbered Level 1 assets	NSF30.26	5% RSF factor · 0% risk weight under CRE20	
• 10% RSF for sub-six-month loans to financial institutions secured by Level 1 assets	NSF30.27	10% RSF factor · residual maturities of less...	
• 15% RSF for unencumbered Level 2A assets	NSF30.28	15% RSF factor · 20% risk weight under CRE20	
• 15% RSF for other sub-six-month loans to financial institutions	NSF30.28	15% RSF factor · residual maturities of less...	
• 50% RSF for unencumbered Level 2B assets	NSF30.29	50% RSF factor · credit rating of at least AA...	
• 50% RSF for loans to financial institutions and central banks maturing in six to twelve months	NSF30.29	50% RSF factor · between six months ;	
• 50% RSF for non-HQLA with residual maturity under one year, including retail and small business loans	NSF30.29	50% RSF factor · residual mati...	
• 65% RSF for residential mortgages of one year or more with 35% or lower risk weight	NSF30.30	65% RSF factor · 35% or lower risk weight	
• 65% RSF for other long-dated loans qualifying for a 35% or lower risk weight	NSF30.30	65% RSF factor · 35% or lower risk weight	
• 85% RSF for long-dated performing loans not qualifying for a 35% or lower risk weight	NSF30.31	85% RSF factor · 35% or lower risk weight (ex...	
• 85% RSF for long-dated non-HQLA securities and exchange-traded equities	NSF30.31	85% RSF factor · remaining maturity of one ye...	
• Definition of performing loans for RSF purposes		NSF30.31	past due more than 90 days
• 100% RSF for assets encumbered for one year or more	NSF30.32	100% RSF factor · encumbered for a period of...	

• 100% RSF for assets without a stated maturity	NSF30.32	100% RSF factor • effectively mature in less...	
• 100% RSF for non-performing loans and other residual assets	NSF30.32	100% RSF factor • residual maturity of one ye...	
• RSF assigned to off-balance sheet activities for exposures likely to be funded within one year		NSF30.33	one-year horizon
• Off-balance sheet exposures categorised by facility type consistent with the LCR			NSF30.34
• 5% RSF on the undrawn portion of irrevocable and conditionally revocable credit and liquidity facilities	NSF30.34	5% RSF factor • currently	
• National supervisors set RSF factors for other contingent funding obligations including unconditionally revocable facilities		NSF30.34	
Interdependent assets and liabilities			3
• Definition of interdependent assets and liabilities			NSF30.35
• Interdependent items may be assigned 0% RSF and 0% ASF subject to four criteria		NSF30.35	0% RSF factor • 0% ASF factor
• Interdependent treatment must be transparently set out in national regulation			NSF30.37
Off-balance sheet			96
Credit conversion factors			44
• OBS items accounted for as derivatives take the derivative treatment			LEV30.45
• CCFs applied to the notional amount of OBS items			LEV30.46
• OBS conversion formula: committed but undrawn amount times CCF	LEV30.47	exposure = committed but undrawn amount x CCF	
• Definition of commitment for leverage purposes			LEV30.47
• Conditionally cancellable arrangements are also commitments			LEV30.47
• National discretion to exempt certain arrangements from the commitment definition	LEV30.47	four cumulative exemption conditions (i)-(iv)...	
• Exempted arrangements confined to closely monitored corporate and SME counterparties			LEV30.47
• Provisions against OBS exposures deducted after the CCF is applied			LEV30.48
• Total OBS equivalent amount floored at zero	LEV30.48	floor of zero on total OBS equivalent amount	
• 100% CCF for forward asset purchases and commitments with certain drawdown			LEV30.49
• 100% CCF for unsettled financial asset purchases under settlement date accounting			LEV30.49
• 100% CCF catch-all for uncategorised credit substitutes			LEV30.49
• Supervisors should consider a higher CCF where cancellation is constrained in practice	LEV30.54	higher CCF than 10% at supervisory discretion	
• Lower of two applicable CCFs for an undertaking to provide a commitment			LEV30.55
• OBS securitisation exposures follow CRE40.20(2)			LEV30.56
• G-SIB leverage ratio buffer met with Tier 1 capital			LEV40.1
• G-SIB leverage buffer set at 50% of the higher loss-absorbency requirement	LEV40.2	50% of higher loss-absorbency requirement • 2...	
• Capital distribution constraints tied to a 3% leverage minimum plus buffer	LEV40.4	3% leverage ratio minimum • 4.5% CET1 minimum	
• Leverage ratio conservation bands from 3% to 3.50%	LEV40.5	3%-3.125% band: 100% earnings retention • > 3...	
• Off-balance sheet items convert to exposure via credit conversion factors			CRE20.94
• National discretion to exempt certain arrangements from the commitment definition			CRE20.94
• Apply the lower of two applicable CCFs for a commitment on an off-balance sheet item	CRE20.101	10% CCF instead of 100% CCF (worked example)...	
• 1250% aggregation cap for first-to-default credit derivative protection sold			CRE20.103
• Definition of a defaulted exposure: more than 90 days past due			CRE20.104
• Distressed restructuring is a default event			CRE20.104
• Account-specific provision or write-off is a default event			CRE20.104
• Retail default may be assessed per obligation rather than per borrower			CRE20.105
Unconditionally cancellable commitments • 10% CCF			7
• 10% CCF for unconditionally cancellable commitments including credit card lines			CRE20.100
• Supervisors may impose a higher CCF where cancellation is constrained in practice			CRE20.100
• Scope of off-balance sheet items, including unconditionally cancellable commitments			LEV30.45
• Unconditionally cancellable arrangements are commitments			LEV30.47
• 10% CCF for unconditionally cancellable commitments			LEV30.54
• Worked CCF outcomes for nested commitments: 10% instead of 100%, 20% instead of 40%	LEV30.55	10% CCF instead of 100% CCF • 20% CCF instead...	
• Definition of a commitment, expressly including unconditionally cancellable arrangements			CRE20.94
Other commitments • 40% CCF			2
• 40% credit conversion factor for commitments generally			CRE20.98
• 40% CCF for commitments generally			LEV30.52
Direct credit substitutes • 100% CCF			2
• 100% credit conversion factor for direct credit substitutes and similar items			CRE20.95
• 100% CCF for direct credit substitutes			LEV30.49
Transaction-related contingents • 50% CCF			4
• 50% CCF for note issuance and revolving underwriting facilities			CRE20.96
• 50% CCF for transaction-related contingent items			CRE20.97
• 50% CCF for note issuance and revolving underwriting facilities			LEV30.50
• 50% CCF for transaction-related contingent items			LEV30.51
Trade-related contingents • 20% CCF			2
• 20% CCF for short-term self-liquidating trade letters of credit			CRE20.99
• 20% CCF for short-term self-liquidating trade letters of credit			LEV30.53
Undrawn facilities under the liquidity standard			23
• 100% outflow for collateral or cash triggered by up to a 3-notch downgrade	LCR40.51	100% outflow • 3-notch downgrade	
• 100% outflow on bank-issued ABS, covered bonds and structured financing maturing within 30 days			LCR40.57
• 100% of maturing amount and 100% of returnable assets for ABCP and conduit financing	LCR40.58	100% of maturing amount • 100% of returnable...	
• Definition of credit and liquidity facilities; unconditionally revocable facilities excluded			LCR40.59
• Facilities assumed drawn must be assumed to remain outstanding without repayment			LCR40.59
• Undrawn facility amounts may be netted against HQLA collateral posted by the counterparty			LCR40.60
• Definition of a liquidity facility as a backstop for customer debt refinancing			LCR40.61
• General working capital and revolving corporate facilities are credit, not liquidity, facilities	LCR40.61	10% credit facility rate instead of 30%	
• All contractual and estimated drawdowns within 30 days must be reflected as outflows			LCR40.64
• 5% drawdown on undrawn committed credit and liquidity facilities to retail and small business customers	LCR40.64	5% drawdown of undrawn portion	
• 10% drawdown on committed credit facilities to non-financial corporates, sovereigns, PSEs and MDBs	LCR40.64	10% drawdown of undrawn portion	
• 30% drawdown on committed liquidity facilities to non-financial corporates, sovereigns, PSEs and MDBs	LCR40.64	30% drawdown of undrawn portion	
• 40% drawdown on committed credit and liquidity facilities to prudentially supervised banks	LCR40.64	40% drawdown of undrawn portion	
• 40% drawdown on committed credit facilities to other financial institutions	LCR40.64	40% drawdown of undrawn portion	
• 100% drawdown on committed liquidity facilities to other financial institutions	LCR40.64	100% drawdown of undrawn portion	
• 100% drawdown on committed facilities to SPEs, conduits and other legal entities	LCR40.64	100% drawdown of undrawn portion	
• Committed facilities means irrevocable facilities			LCR40.64
• 100% outflow on contractual lending obligations to financial institutions			LCR40.65
• Contractual lending obligations to retail and non-financial clients above 50% of contractual inflows create a 100% outflow	LCR40.66	50% of contr	

- Run-off rates for other contingent funding obligations set at national discretion - Trade finance contingent obligations may receive a run-off rate of 5% or less - Unconditionally revocable uncommitted credit and liquidity facilities are other contingent funding obligations at nationally set rates - Other contractual cash outflows at 100%	LCR40.67 LCR40.71 5% or less run-off rate LCR40.73 LCR40.74 100% outflow · 30 calendar days
Off-balance sheet in the leverage exposure measure	29
- Exposure measure follows gross accounting values - No credit risk mitigation or asset/liability netting in the exposure measure - Items deducted from Tier 1 may also be deducted from the exposure measure - IRB provision shortfall deducted from Tier 1 may be deducted from the exposure measure - Liability items must not be deducted from the exposure measure - Securitised exposures may be excluded only if risk transference is recognised - Non-qualifying and synthetic securitisations stay in the exposure measure - Vigilance against exposure-measure-minimising structures - Supervisors may impose a Pillar 2 charge on leverage-minimising structures - National discretion to exempt central bank reserves, with offsetting recalibration - All balance sheet assets included in the exposure measure - Fiduciary assets excludable if derecognition criteria are met - On-balance sheet non-derivative assets at accounting value less specific provisions - General provisions that reduced Tier 1 may be deducted from the exposure measure - CAP10.18 general-provision definition applies to SA and IRB banks alike for leverage - Settlement date accounting routed to the off-balance sheet treatment - Daily-transfer cash pooling measured on the single net account balance - Failed cash pooling conditions force gross inclusion of individual balances - Derivative exposure = replacement cost plus potential future exposure - Alpha multiplier of 1.4 on derivative RC plus PFE - PFE multiplier fixed at one for leverage purposes - Collateral received cannot reduce the derivative exposure measure - Gross-up for derivatives collateral provided - Written credit derivatives included at effective notional amount - SFT exposure as principal: gross SFT assets plus a counterparty credit measure - SFT cash payable/receivable netting only under three strict conditions - Reverse sale accounting for SFTs achieving derecognition - Agent SFT with indemnity: only the counterparty credit measure applies - Agent economically exposed beyond the guarantee must include the full amount	LEV30.1 LEV30.2 LEV30.3 LEV30.3 LEV30.4 LEV30.5 LEV30.5 LEV30.6 LEV30.6 LEV30.7 temporary exemption of central bank reserves... LEV30.8 LEV30.8 LEV30.9 LEV30.9 LEV30.9 LEV30.11 LEV30.12 transfer at least on a daily basis LEV30.12 LEV30.13 LEV30.14 alpha = 1.4 · 1.4 x (RC + PFE) LEV30.16 PFE multiplier = 1 LEV30.22 LEV30.23 LEV30.31 LEV30.37 LEV30.37 LEV30.40 LEV30.42 LEV30.43
Capital	90
Common Equity Tier 1	11
- Regulatory capital consists of three categories - Definition of Total regulatory capital and Tier 1 capital - Predominant form of Tier 1 must be common shares and retained earnings - Components of Common Equity Tier 1 - Interim profit or loss is included and dividends removed from CET1 - Prior supervisory approval for instruments with non-cash, non-share dividends - Minority interest recognised in CET1 only if issued by a bank subsidiary - Minority interest surplus measured against 7.0% CET1 including the buffer - Tier 1 surplus of subsidiaries measured against 8.5% of RWA - Total capital surplus of subsidiaries measured against 10.5% of RWA - Capital issued to third parties out of an SPV cannot be CET1	CAP10.1 3 capital categories CAP10.2 CAP10.3 CAP10.6 CAP10.7 CAP10.5 CAP10.20 CAP10.21 7.0% CET1 including conservation buffer CAP10.23 8.5% Tier 1 including conservation buffer CAP10.25 10.5% Total capital including conservation bu... CAP10.26
Additional Tier 1	3
- Additional Tier 1 instruments callable only after five years and with approval - Additional Tier 1 loss absorption trigger of at least 5.125% CET1 - Additional Tier 1 requires full discretion to cancel distributions	CAP10.11 minimum 5 years to first call CAP10.11 5.125% CET1 trigger CAP10.11
Tier 2	4
- Tier 2 minimum five-year maturity with straight-line amortisation - General provisions in Tier 2 capped at 1.25% of standardised credit RWA - Provisions against identified deterioration are excluded from Tier 2 - IRB excess provisions recognised in Tier 2 up to 0.6% of IRB credit RWA	CAP10.16 minimum 5 year original maturity · 20% per ye... CAP10.18 1.25 percentage points of standardised credit... CAP10.18 CAP10.19 0.6% of IRB credit RWA maximum
Regulatory adjustments and deductions	24
- Goodwill and other intangibles deducted from CET1 - Deferred tax assets relying on future profitability deducted from CET1 - Operating-loss DTAs deducted in full without threshold benefit - Cash flow hedge reserve derecognised in CET1 - Shortfall of provisions to expected losses deducted from CET1 - Securitisation gain on sale deducted from CET1 - Own credit risk gains and losses derecognised in CET1 - Defined benefit pension fund net assets deducted from CET1 - Investments in own common shares deducted from CET1 - Reciprocal cross-holdings of capital deducted in full - Underwriting positions held five working days or less may be excluded - Non-G-SIB holdings of other TLAC liabilities below 5% of common equity - Non-significant financial holdings above 10% of common equity deducted - Deduction shortfall cascades to the next higher tier of capital - Amounts not deducted continue to be risk weighted - Definition of a significant investment in an unconsolidated financial entity - Non-common-share investments in significant holdings fully deducted - Threshold items each capped at 10% of common equity - The three threshold deduction items - Aggregate threshold items capped at 15% of CET1 - The 15% aggregate cap is applied as a 17.65% multiplier - Non-deducted threshold items risk weighted at 250% - DTAs automatically converted to refundable tax credits risk weighted at 100% - Minimum TLAC requirements apply only to G-SIBs	CAP30.7 CAP30.9 CAP30.9 100% deduction · no 10% threshold benefit CAP30.11 CAP30.13 CAP30.14 CAP30.15 CAP30.16 CAP30.18 CAP30.21 100% deduction CAP30.22 5 working days CAP30.25 5% of common equity (gross long) · 10% thresh... CAP30.26 10% of common equity threshold CAP30.27 CAP30.28 CAP30.29 more than 10% of issued common share capital... CAP30.30 100% deduction CAP30.32 10% of common equity per item CAP30.32 3 specified items CAP30.33 15% of CET1 aggregate cap CAP30.33 17.65% multiplier · 15%/85% CAP30.34 250% risk weight CAP30.34 100% risk weight CAP30.2

Minimum capital ratios	13
• Minimum Common Equity Tier 1 ratio of 4.5% of RWA	RBC20.1 4.5% CET1 / RWA
• Minimum Tier 1 capital ratio of 6% of RWA	RBC20.1 6% Tier 1 / RWA
• Minimum Total capital ratio of 8.0% of RWA	RBC20.1 8.0% Total capital / RWA
• Capital conservation buffer of 2.5% of RWA sits above the minimums	RBC20.1 2.5% CET1 conservation buffer • 7.0% effectiv...
• Capital used in the ratios must be net of regulatory adjustments	RBC20.2
• RWA for compliance is the higher of nominated-approach RWA and the output floor	RBC20.4
• Output floor at 72.5% of standardised RWA	RBC20.4 72.5% of standardised RWA
• Credit RWA for banking book exposures uses the standardised or IRB approach	RBC20.6
• 1250% risk weight fallback for securitisation exposures	RBC20.6 1250% risk weight
• Operational risk RWA uses only the standardised approach	RBC20.10
• Base of the output floor uses the standardised approach for credit risk	RBC20.11
• IRB and internal models may not be used in the output floor base	RBC20.12
• A jurisdiction implementing only standardised approaches is compliant	RBC20.14
Buffers above the minimum	35
• Minimum capital conservation ratios by CET1 band	RBC30.4 4.5%-5.125% CET1 -> conserve 100% of earnings...
• Conservation standards recalculated at each distribution date	RBC30.4
• Worked example: 80% earnings conservation in the second buffer quartile	RBC30.4 5.125%-5.75% CET1 • 80% of earnings conserved
• CET1 used for the buffer test excludes CET1 needed for Tier 1 and Total capital minimums	RBC30.4 4.5% minimum CET1 • 6% Tier 1
• Private capital raising as an alternative to conserving earnings	RBC30.4
• Definition of items subject to the distribution restriction	RBC30.5
• Already-declared and removed dividends are exempt from the restriction	RBC30.5 3 cumulative conditions
• Definition of earnings for the conservation calculation	RBC30.5
• Buffer regime applied at the consolidated level	RBC30.5
• Supervisors may impose time limits on operating in the buffer range	RBC30.5
• Interbank and public sector exposures excluded from the buffer weighting	RBC30.13
• Conservation ratios by quartile of the extended buffer	RBC30.17 1st quartile -> 100% • 2nd quartile -> 80%
• Banks should hold buffers above the regulatory minimum outside stress	RBC30.20
• Earnings retention should increase the closer capital is to the minimum	RBC30.22
• Rebuilding depleted buffers by reducing discretionary distributions	RBC30.21
• G-SIB designation cutoff and higher loss absorbency calibration	RBC40.4 130 bps cutoff score • 100 bps bucket width
• G-SIB higher loss absorbency requirements by bucket	RBC40.4 bucket 5: 3.5% of RWA • bucket 4: 2.5%
• G-SIB and D-SIB surcharges are not additive	RBC40.19
Capital conservation buffer • 2.5%	7
• Capital conservation buffer of 2.5% must be met with CET1	RBC30.2 2.5% CET1 conservation buffer
• CET1 counts toward the buffer only after the minimums are met	RBC30.2 6% Tier 1 • 8% Total capital
• No positive net distributions where earnings are negative and CET1 is below 7%	RBC30.5 CET1 < 7% • zero positive net distributions
• Countercyclical buffer implemented as an extension of the conservation buffer	RBC30.16
• Twelve months to meet an increased G-SIB surcharge	RBC40.6 12 month grace period
• Capital remediation plan on breach of the G-SIB surcharge	RBC40.3
• D-SIB surcharge implemented as a four-band extension of the conservation buffer	RBC40.23 four equal bands
Countercyclical buffer • 0-2.5%	8
• National countercyclical buffer varies between zero and 2.5% of RWA	RBC30.9 0% to 2.5% of RWA
• Mandatory reciprocity capped at a 2.5% countercyclical buffer	RBC30.9 2.5% reciprocity ceiling
• Twelve-month pre-announcement for increases, immediate effect for decreases	RBC30.11 12 months pre-announcement • immediate effect...
• Bank-specific countercyclical buffer must be met with CET1	RBC30.12 0% to 2.5% of total RWA • CET1 only
• Definition of private sector credit exposures for the countercyclical buffer	RBC30.13
• Countercyclical buffer weights are credit risk charge shares by jurisdiction	RBC30.14 weight = jurisdictional credit risk charge /...
• Illustrative conservation bands under a 2.5% countercyclical requirement	RBC30.18 4.5%-5.75% -> 100% • 5.75%-7.0% -> 80%
• Countercyclical buffer must be calculated and disclosed at minimum-capital frequency	RBC30.19
Systemic surcharges	2
• G-SIB higher loss absorbency must be met with CET1 only	RBC40.1
• D-SIB higher loss absorbency must be met fully by CET1	RBC40.8
Transitional arrangements	0 not yet extracted
Constraints that cut across the book	70
Leverage ratio	8
• 3% minimum leverage ratio at all times	LEV20.7 3% minimum leverage ratio
• Definition of the leverage ratio	LEV20.3
• Numerator is Tier 1 capital	LEV20.4
• Four components of the leverage ratio exposure measure	LEV20.5
• Quarter-end calculation of both measures	LEV20.6 quarter-end (quarterly) calculation frequency
• Optional more frequent (daily/monthly average) calculation subject to supervisory approval	LEV20.6 daily or monthly averaging
• Leverage ratio as non-risk-based backstop	LEV20.1
• Leverage must capture both on- and off-balance sheet sources	LEV20.2
Liquidity coverage ratio	11
• Purpose of the LCR: survive a 30-calendar-day liquidity stress	LCR20.1 30 calendar days
• LCR stress scenario includes unscheduled draws on committed but unused credit and liquidity facilities	LCR20.2
• LCR stress scenario includes run-off of a proportion of retail deposits	LCR20.2
• LCR is a minimum; banks must run their own longer-horizon stress tests	LCR20.3
• LCR has two components: stock of HQLA and total net cash outflows	LCR20.4
• Minimum LCR of 100%	LCR20.5 100% minimum LCR • 30 calendar days
• Net cash outflows measured over 30 calendar days	LCR20.5 30 calendar days
• HQLA may be used in stress, allowing the LCR to fall below 100%	LCR20.5 100%
• Supervisory response to a reported LCR below 100% must be proportionate	LCR20.6 100%
• LCR must be reported at least monthly with capacity for weekly or daily	LCR20.7 at least monthly • weekly or daily in stress
• Immediate notification if LCR has fallen or is expected to fall below 100%	LCR20.8 100%
Large exposures and concentration	51
• Pillar 1 capital assumes infinitely granular portfolios and ignores concentration risk	LEX10.2
• Large exposures framework applies at every tier of the banking group	LEX10.4
• Framework binds all internationally active banks; jurisdictions may be stricter	LEX10.5
• National discretion to extend the framework to smaller banks with a different approach	LEX10.5

• Aggregate all third-party exposures across the consolidation group against group Tier 1	LEX10.6
• All counterparties are in scope; only sovereigns are exempt	LEX10.7
• Any exposure type not explicitly exempted is fully subject to the limit	LEX10.7
• Large exposure limit: 25% of Tier 1 capital at all times	LEX20.1 25% of Tier 1 capital
• Tighter 15% limit for G-SIB exposures to another G-SIB	LEX20.1 15% of Tier 1 capital
• Capital base for the limit is Tier 1 capital as defined in CAP10.2	LEX20.2
• Limit breaches must be exceptional, immediately reported and rapidly rectified	LEX20.3
• Report exposure values both before and after credit risk mitigation	LEX20.4
• Report all exposures at or above 10% of Tier 1 capital	LEX20.4 10% of Tier 1 capital
• Report exposures at or above 10% of Tier 1 measured gross of CRM	LEX20.4 10% of Tier 1 capital (gross of CRM)
• Report exempted exposures at or above 10% of Tier 1 capital	LEX20.4 10% of Tier 1 capital
• Report the 20 largest counterparty exposures irrespective of size	LEX20.4 largest 20 exposures
• Exposure scope covers on- and off-balance sheet, banking and trading book	LEX30.1
• Exposures deducted from capital are excluded from the limit	LEX30.2
• 1,250% risk-weighted exposures remain subject to the limit	LEX30.2 1,250% risk weight
• Only standardised-approach eligible CRM counts for large exposures	LEX30.7
• IRB-only collateral cannot reduce large exposure values	LEX30.8
• CRM used for capital purposes must also be recognised for large exposures	LEX30.9
• Maturity mismatch hedges: one-year original and three-month residual thresholds	LEX30.10 original maturity >= 1 year · residual maturi...
• Maturity mismatch adjustment mirrors the risk-based capital calculation	LEX30.11
• On-balance sheet loan-deposit netting may be used for large exposures	LEX30.12
• Amount by which the original counterparty exposure is reduced	LEX30.13
• Supervisory haircuts mandatory; internally modelled haircuts prohibited	LEX30.13
• Substitution: a new exposure to the CRM provider must be recognised	LEX30.14
• Trading book and banking book exposures to the same counterparty must be summed	LEX30.15
• Netting across banking and trading books is prohibited	LEX30.29
• Sovereign and central bank exposures are exempt from the framework	LEX30.31
• Sovereign-guaranteed or sovereign-collateralised portions are excluded	LEX30.31
• Entities linked only through an exempt sovereign need not be grouped	LEX30.32
• Exempt sovereign exposures must still be reported when large	LEX30.33 10% of Tier 1 capital
• Hedging an exempt exposure creates a live exposure to the protection provider	LEX30.34
• Intraday interbank exposures are outside the framework	LEX30.35
• Supervisors may accept an ex post breach of an interbank limit in stress	LEX30.36
• Exposures through funds, securitisations and other structures must be assigned to counterparties	LEX30.41
• No look-through required where each underlying is below 0.25% of Tier 1	LEX30.42 0.25% of Tier 1 capital
• Test is automatically passed if the whole investment is below 0.25% of Tier 1	LEX30.42 0.25% of Tier 1 capital
• Mandatory look-through for underlying assets at or above 0.25% of Tier 1	LEX30.43 0.25% of Tier 1 capital
• Partial look-through is permitted for sub-threshold underlyings	LEX30.43 0.25% of Tier 1 capital
• Unidentifiable underlyings: structure or unknown client depending on 0.25% test	LEX30.44 0.25% of Tier 1 capital
• All unknown exposures aggregate into a single counterparty subject to the limit	LEX30.45 25% of Tier 1 capital (unknown client bucket)
• Look-through decision must not be driven by regulatory arbitrage	LEX30.46
• Exposure to a structure without look-through is the nominal amount invested	LEX30.47
• Look-through exposure value is the pro rata share of each underlying asset	LEX30.48 1% share x asset value 5 = 0.05 exposure (wor...
• Tranched structures: lower of tranche value and underlying nominal, then pro rata	LEX30.49
• Third parties may be an additional risk factor inherent in a structure	LEX30.50
• Investments sharing a common risk factor form a group of connected counterparties	LEX30.51 25% of Tier 1 capital (aggregate across struc...
• Exposure assigned to each of multiple third-party risk drivers	LEX30.52
Supervisory review – Pillar 2	0 not yet extracted
└ Credit risk management and provisioning	0
└ Concentration risk	0
└ Interest rate risk in the banking book	0
└ Liquidity monitoring metrics	0
└ Stress testing and ICAAP	0
Disclosure – Pillar 3	0 not yet extracted
Scope and proportionality	0 not yet extracted